

Enterprise Promotion, Compensation, and Bonus Policy Manual

This policy manual defines the formal, binding framework governing employee promotions, career progression, salary adjustments, incentive compensation, and bonus allocation. It is designed to ensure consistency, transparency, meritocracy, and long-term organizational sustainability across all departments including Engineering, Product, and Data Science.

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1. Career Architecture and Leveling Framework

The company maintains a formal career architecture to provide clarity on role expectations, decision-making authority, scope of impact, and progression pathways. Career levels are not merely titles but represent materially different expectations of autonomy, influence, accountability, and business contribution.

All positions are mapped to standardized levels: Junior, Mid-level, and Senior. Movement between levels requires demonstrable readiness rather than tenure alone.

1.1 Junior Level Definition

Junior employees are developing professionals expected to execute defined tasks with guidance. They focus on acquiring technical competence, understanding internal systems, and demonstrating reliability, learning agility, and professional conduct. Errors are expected but must be actively learned from and reduced over time.

1.2 Mid-level Definition

Mid-level employees operate independently, manage complex tasks, and take ownership of outcomes. They are expected to proactively identify problems, propose solutions, collaborate cross-functionally, and contribute to process improvements. Mid-level staff may mentor juniors and influence team execution.

1.3 Senior Level Definition

Senior employees are strategic contributors whose decisions materially impact product direction, technical architecture, delivery timelines, or business performance. They are accountable for results beyond individual tasks, mentor others, mitigate risk, and represent the organization internally and externally.

2. Promotion Philosophy and Guiding Principles

Promotions are awarded to recognize sustained, demonstrated performance at the next level. Employees must already be operating consistently at the higher level before a promotion is granted. Promotions are not automatic, guaranteed, or time-based.

The company explicitly rejects promotion-by-tenure. Business need, organizational structure, budgetary constraints, and role availability are considered alongside individual merit.

2.1 Core Promotion Criteria

To be considered for promotion, an employee must demonstrate mastery of current role expectations, consistent delivery of high-quality outcomes, behavioral alignment with company values, and clear evidence of operating at the next level for a sustained period of time.

Performance ratings of **Good** or **Excellent** over at least two consecutive review cycles are typically required. Isolated strong performance is insufficient.

3. Promotion Review and Approval Process

Promotion reviews occur as part of the formal biannual performance cycle. Managers initiate promotion nominations supported by written evidence, performance data, peer feedback, and demonstrated business impact.

Each promotion request undergoes multi-level review including manager, department head, and Human Resources. Senior-level promotions may require executive committee approval.

Promotion decisions are documented and archived for auditability and fairness analysis. The effective date of promotion, revised compensation, and updated role expectations must be formally communicated in writing.

4. Performance Evaluation Framework

Performance evaluation balances objective results with qualitative behaviors. Employees are assessed on delivery, quality, collaboration, leadership, problem-solving, and adherence to company values.

Rating	Definition	Compensation Impact	Promotion Impact
Excellent	Consistently exceeds role expectations	Top-band increases, max bonus	Accelerated eligibility
Good	Meets and occasionally exceeds expectations	Standard merit increase	Eligible
Needs Improvement	Below expectations in key areas	Limited or no increase	Not eligible

5. Compensation Structure and Salary Governance

Base salary reflects the relative value of a role, market benchmarks, internal equity, and individual performance. Salary bands are reviewed annually using external market data.

Employees progress within salary bands based on merit. Approaching the upper band requires exceptional and sustained performance. Promotions typically reset band positioning.

6. Bonus and Incentive Programs

The annual bonus program rewards contributions to company success. Bonuses are variable, non-guaranteed, and contingent upon company financial performance, individual performance, and continued employment at payout date.

Target Bonus Levels:

Junior Employees: Up to 10% of annual base salary

Mid-level Employees: Up to 15% of annual base salary

Senior Employees: Up to 25% of annual base salary

Actual bonus payouts may range from 0% to 150% of target depending on performance outcomes and company results. Bonuses are prorated for partial-year employment.

7. Spot Bonuses and Special Recognition Awards

Spot bonuses recognize exceptional, one-time contributions such as critical project delivery, risk mitigation, innovation, or extraordinary effort beyond normal role expectations.

Spot bonuses are discretionary, taxable, and do not create future entitlement. Approval thresholds vary by amount and require HR oversight.

8. Governance, Compliance, and Appeals Process

All promotion and compensation decisions are subject to audit. Discrimination, favoritism, or retaliation is strictly prohibited.

Employees may request written feedback on promotion or bonus outcomes. Formal appeals must be submitted within 14 calendar days of notification and will be reviewed by HR and an independent leadership panel.

This document supersedes all prior promotion and bonus policies.